



headquartered. Publicly traded corporations are subject to considerably greater disclosure requirements. They must file with the Securities and Exchange Commission quarterly (10-Q) and annual (10-K) reports detailing revenue, income, profits, and losses. They must also file interim reports (8-K) disclosing significant events, such as an acquisition or divestiture, as well as reports (Form 4) that disclose significant buying and selling of shares by company insiders.

Company law

The US Constitution vests in individual states the power to regulate commerce and administer and oversee companies that operate within their borders. States maintain a Department of State or equivalent (such as Massachusetts' Secretary of the Commonwealth) that act as registrar for commercial endeavors. Departments of State maintain publicly searchable databases of all registered companies, hold administrative hearings, and can take enforcement actions.

Taxation

The IRS collects taxes from businesses on behalf of both the federal and state governments. At the time of printing, the federal tax rate on corporations ranged from 15 percent to 35 percent. Tax rates vary widely among states, and six states impose no corporate income tax at all.

The federal government and states do not collect Value Added Taxes (VAT) from businesses, but many states impose sales tax on consumers that businesses collect at the point of sale. Several states have no sales tax. Sales taxes can also vary depending on the item purchased. For example, in New York state, groceries are tax-free, while takeout meals are taxed at the prevailing rate of 4 percent. New York City also applies an additional sales tax of 4.5 percent to most items. Other municipalities around the country are also free to establish their own sales tax rates.

ORGANIZATIONS AND RESOURCES

The Small Business Administration website has information on the corporate structures permitted under US law.

<https://www.sba.gov>

Taxation

The Internal Revenue Service provides a number of online services for business owners, including when and where to file tax returns and how to obtain tax credits.

<http://www.irs.gov/Businesses>

Startups

BusinessUSA is a central repository where entrepreneurs can access a range of services. Its website provides information on funding, taxation, hiring, growth strategies, and more. It also offers advice tailored to specific groups, such as women, veterans, and minorities.

<http://business.usa.gov>

The US Department of the Treasury also offers advice and services for would-be proprietors. In addition, it operates the Small Business Lending Fund, which secures loans made to business owners by private banks.

<http://www.treasury.gov>

Registering intellectual property

The main arbiter for determining whether a product or business method is worthy of exclusivity is the United States Patent and Trademark Office.

<http://www.uspto.gov>

Immigration

All employees must be authorized to work in the US through citizenship or some form of visa. US Citizenship and Immigration Services, part of the Department of Homeland Security, determines visa eligibility and enforces immigration rules.

In Canada

The Canada Business Network offers information about starting and operating a business.

<http://www.canadabusines.ca/eng/page/2853/>

<http://www.entreprisescanada.ca/fra/page/2853/>